

Economics

BCA — Semester 2 — — Answer Sheet

Subject Code:

Note: This answer sheet is currently a template. Detailed answers will be added progressively. Students are encouraged to refer to textbooks and class notes.

Group B

1. What is indifference curve? Explain the consumer's equilibrium under ordinal utility approach.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

2. Define national income. Explain the difficulties of measuring national income in developing countries like Nepal.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

3. List out the features of monopoly? Explain the short run and long run equilibrium of a firm under monopolistic market?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

4. "Scarcity and choice are central issues of economics". Justify the statement.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

5. Describe the major determinants of demand.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

6. Given the Price demand schedule below.

Price	Quantity Demanded
50	10
40	15
30	20
20	30
10	50

Find the price elasticity of demand when price changes from 40 to 20 and 20 to 40 by percentage method and also compare the results between them.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

7. Explain the law of returns to scale.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

8. What is marginal rate of substitution (MRS)? Write the reason to diminishing MRS.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

9. Calculate TC, AFC, AVC, AC, and MC under the total fixed cost 100, from the following cost schedule.

Output	TC	AFC	AVC	AC	MC
1	23	100	18	123	10
2	45	50	12	72	10
3	67	33	10	57	10
4	90	25	10	47	10
5	115	20	10	43	10
6	140	16	10	40	10
7	165	14	10	38	10
8	190	12	10	37	10
9	215	11	10	37	10
10	240	10	10	38	10
11	265	9	10	40	10
12	290	8	10	43	10
13	315	7	10	47	10
14	340	7	10	52	10
15	365	6	10	58	10
16	390	6	10	65	10
17	415	5	10	73	10
18	440	5	10	82	10
19	465	5	10	93	10
20	490	5	10	105	10

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

10. Explain, the uses of quantitative instruments under the expansionary monetary policy?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

11. Let the demand and cost functions are $P = 12 - 0.4Q$ and $C = 5 + 4Q + 0.6Q^2$ respectively. Then find the equilibrium price, quantity, total revenue, total cost and total profit.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

12. Find the GDPMP, GNPM, and NNP from the following information.

Items (Rs in crores)	Value
Gross fixed domestic capital formation	200
Net exports	(-14)
Net indirect taxes	94
Net changes in stock	26
Private final consumption expenditure	500
Government's final consumption expenditure	150
Net factor income from abroad	50
Capital consumption allowance	80

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

These answer sheets are prepared for educational purposes. Students are encouraged to verify with official textbooks and course materials.